



THE LITTLE RED BOOK



HOW SOCIALISM DESTROYS
FREEDOM AND PROSPERITY

Wherever it has been tried, socialism has failed. From the brutal dictatorships of oppressive Marxist regimes resulting in unimaginable human suffering and the deaths of millions, to the economic bankruptcy of socialist states all over the globe. People suffer when governments embrace socialism.

Look no further than Venezuela or Zimbabwe for stark examples of the dangers socialism, with their near-permanent economic and political crises. Tyranny, repression, and hyperinflation show how far socialist states fall from the Kiwi principles of liberty, stability, and equality before the law.

Compare that to former Soviet countries such as Lithuania and Estonia that liberated themselves from communism. Embracing low taxes and technological advancements, they have achieved first-class public services and economic growth. These nations should act as an inspiration to New Zealanders, and there is a huge amount we can learn from them.

The damage from socialism is not limited to other countries, and our own was not immune. The economic struggles of the 1970s remain vivid memories for those who lived through that time. And

now, once again, New Zealanders also face being squeezed by high taxes and big government to fund failed social experiments.

As New Zealand navigates its own path, we must learn from history. The failures of socialism, both domestically and globally, highlight the importance of upholding economic freedom. By championing a system that values transparency and efficiency, fosters prosperity, and respects taxpayers, New Zealand can pave the way for a better future.

New Zealand Taxpayers' Union



COMMUNIST BODY COUNT: UP TO 100 MILLION ...AND RISING



DEATHS ATTRIBUTED TO COMMUNIST REGIMES

PEOPLE'S REPUBLIC OF CHINA	65 MILLION
SOVIET UNION	20 MILLION
CAMBODIA	2 MILLION
NORTH KOREA	2 MILLION
ETHIOPIA	1.7 MILLION
AFGHANISTAN	1.5 MILLION
EASTERN BLOC	1 MILLION
VIETNAM	1 MILLION
LATIN AMERICA	150,000

Source: The Black Book of Communism



— AT LEAST —

36 MILLION

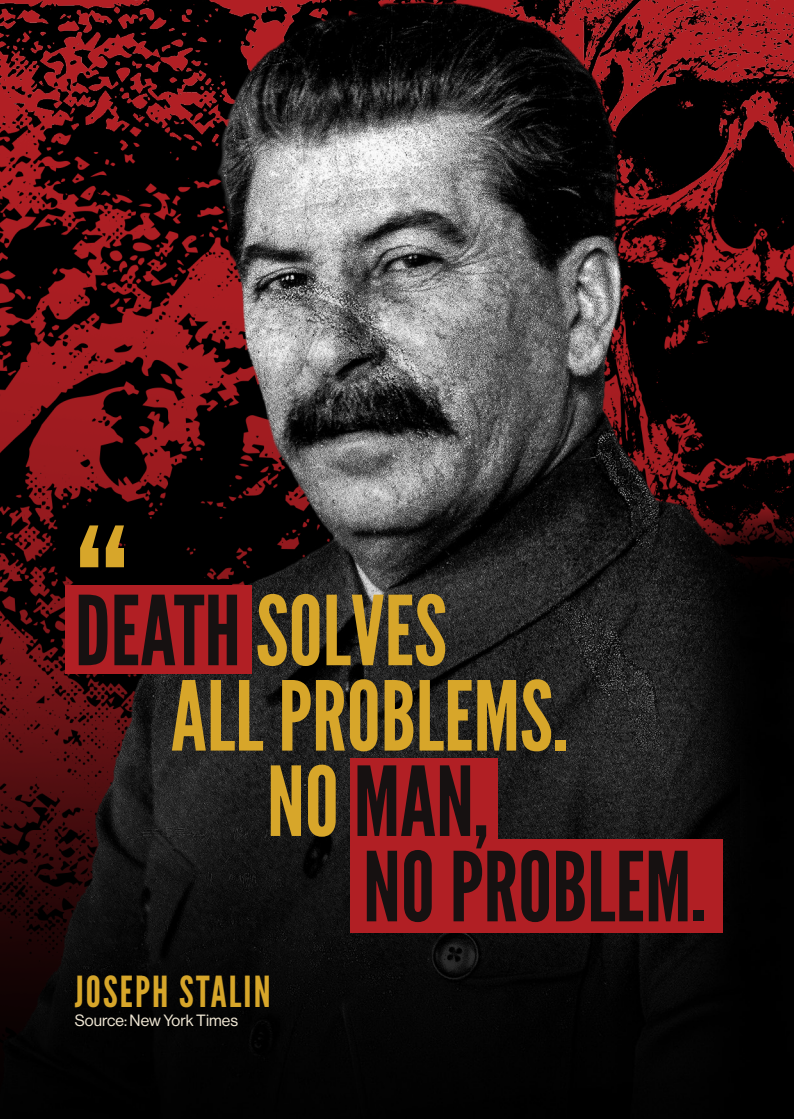
STARVED TO DEATH IN

COMMUNIST CHINA

BETWEEN 1959 AND 1961
UNDER MAO ZEDONG'S REGIME.

Source: The Great Chinese Famine





“

DEATH SOLVES
ALL PROBLEMS.
NO **MAN,**
NO PROBLEM.

JOSEPH STALIN

Source: New York Times



CHE GUEVARA

Source: Free Society Project

“...WE EXECUTED

MANY PEOPLE BY

FIRING SQUAD

WITHOUT KNOWING IF THEY WERE FULLY GUILTY.

**AT TIMES, THE REVOLUTION CANNOT STOP TO
CONDUCT MUCH INVESTIGATION;
IT HAS THE OBLIGATION TO TRIUMPH.”**

PEOPLE'S SOCIALIST REPUBLIC OF ALBANIA:

1945 AND 1992



5,487

POLITICAL PRISONERS EXECUTED



59,809

INTERNEED OR INTERNALLY DEPORTED.



11,536

FAMILIES BANISHED FROM BORDER REGIONS.

Source: Rent from the Land: A Political Ecology of Postsocialist Rural Transformation

SOLIDARITY!

IN 1953 EAST GERMAN WORKERS ROSE UP

THE PROTEST WAS CRUSHED BY TANKS

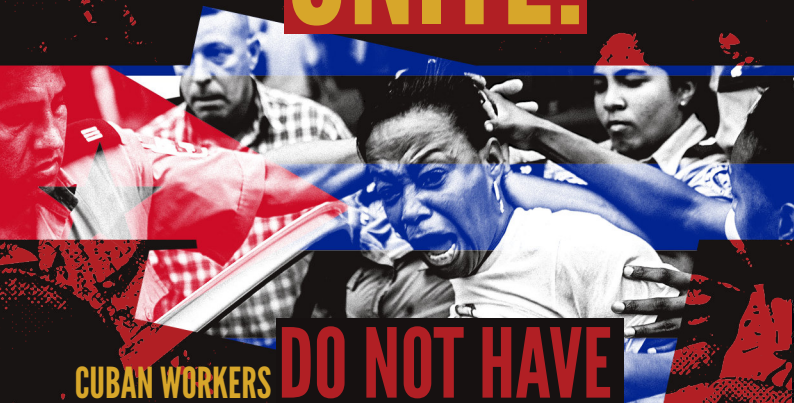
UP TO 125 WORKERS WERE KILLED

In 1953, an East German protest against declining living standards, forced collectivization of agriculture, suppression of churches and repression of political opposition was brutally crushed, leading to the deaths of up to 125 workers.

Source: Office of the Historian, US Department of State



WORKERS OF THE WORLD, **UNITE!**



CUBAN WORKERS **DO NOT HAVE**
ANY RIGHTS TO STRIKE
OR BARGAIN COLLECTIVELY, AND INDEPENDENT
LABOUR UNIONS ARE **ILLEGAL.**

Source: Freedom House



COMMUNISM VS FREEDOM

THE KOREAS AT NIGHT

NORTH KOREA

Near total darkness

SOUTH KOREA

Lights across the entire peninsula

Source: NASA Earth Observatory / Joshua Stevens, using Suomi NPP VIIRS data from Miguel Román, NASA Goddard Space Flight Center, 2016.

MOBILEPHONE SUBSCRIPTIONS

NORTH VS
SOUTH KOREA



6.35 MILLION
NORTH KOREA



76.99 MILLION
SOUTH KOREA

Source: International Telecommunication Union (2022), '<https://datahub.itu.int/data/?i=178>'
International Telecommunication Union (2022), 'https://www.itu.int/en/ITU-D/Statistics/Documents/DDD/ddd_KOR.pdf'

TOTAL PAVED AND UNPAVED ROADS

NORTH VS
SOUTH KOREA



NORTH KOREA
TOTAL 25,554KM
PAVED 724KM
UNPAVED 24,830KM

SOUTH KOREA
TOTAL 110,428KM
PAVED 92,795KM
UNPAVED 7,633KM

Source: CIA World Factbook (2008). This is the latest data for North Korea.

SO MUCH FOR

EQUALITY...



THE CHÁVEZ FAMILY FORTUNE WAS ESTIMATED AT AROUND \$2 BILLION AT THE TIME OF HUGO CHÁVEZ'S DEATH.

AS OF 2024, NOW 73.2 PERCENT OF VENEZUELAN'S LIVE IN POVERTY. 36.5 PERCENT LIVE IN EXTREME POVERTY.

Sources: Newsmax (2013), <https://www.newsmax.com/Headline/chavez-brothers-amassed-billion/2013/03/05/id/493317> Statista (2024), <https://www.statista.com/statistics/1235189/household-poverty-rate-venezuela/>

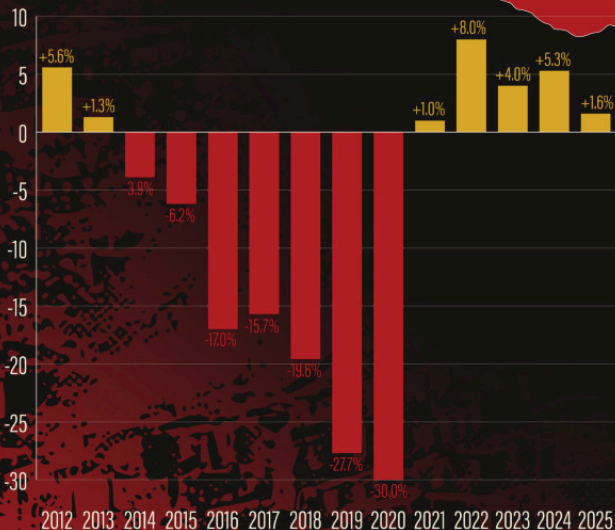
- **OVER 7.7 MILLION VENEZUELANAS HAVE LEFT THE COUNTRY SINCE 2013 WHEN MADURO TOOK OFFICE.**
- **AROUND ONE-THIRD OF VENEZUELA'S 60,000 REGISTERED PHYSICIANS HAVE EMIGRATED.**



- **THE COUNTRY NOW HAS ROUGHLY HALF OF THE 84,000 DOCTORS REQUIRED UNDER WHO STANDARDS.**
- **A 2025 SURVEY FOUND PUBLIC HOSPITALS FACED 30%+ SHORTAGES IN EMERGENCY SUPPLIES.**
- **OPERATING ROOMS REPORTED SHORTAGES EXCEEDING 70%.**

DECLINE OF VENEZUELA'S GDP

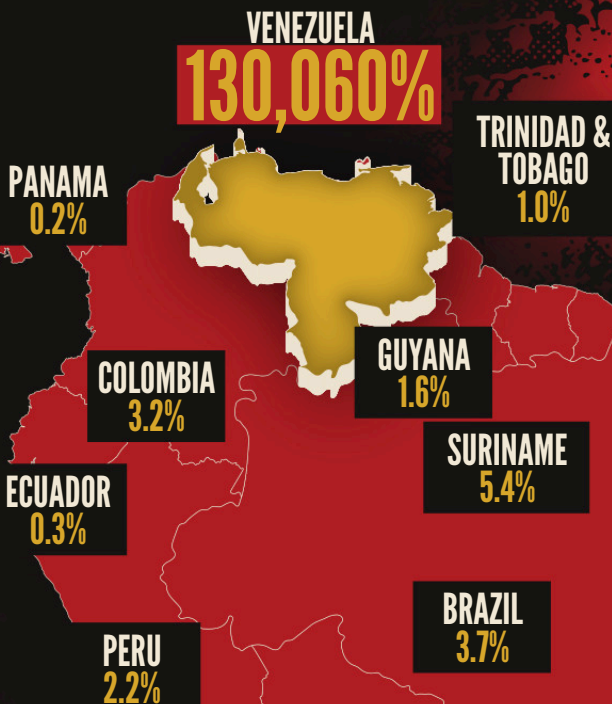
ECONOMY SHRANK **74%** BETWEEN 2013 AND 2020.



**STILL 3X
SMALLER THAN PRE-2013**

Source: World Bank (2025), <https://data.worldbank.org/indicator/NY.GDP.MKTP.KD.ZG?locations=VE>

VENEZUELA'S INFLATION EXPLOSION



Source: International Monetary Fund (2026). <https://www.imf.org/external/datamapper/PCPIEPCH@WEO/WEOORLD>

THE WINTER OF DISCONTENT

1978-79



**DURING THE WIDESPREAD STRIKES BY BRITISH
PUBLIC SECTOR TRADE UNIONS IN 1978/79.**

**LIVERPOOL COUNCIL HAD TO STORE CORPSES
IN A FACTORY BECAUSE THERE WAS NO ONE
AROUND TO BURY THEM**

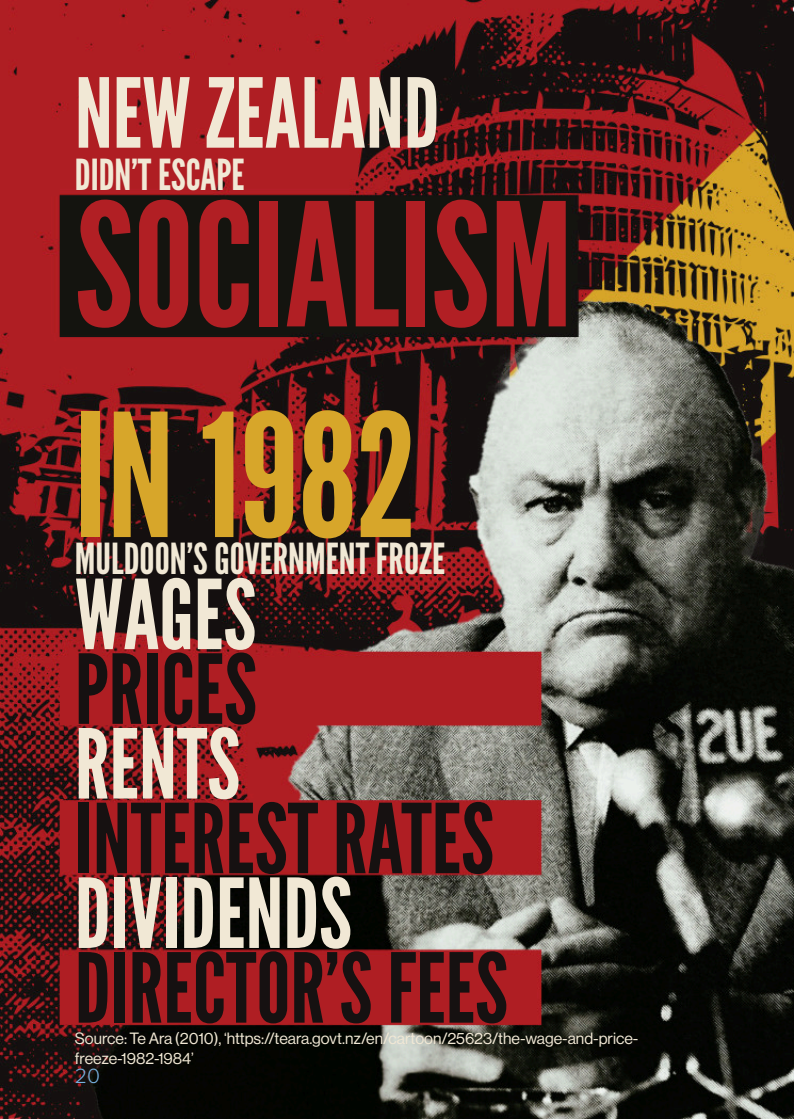
Source: Guardian



AND CENTRAL LONDON'S
LEICESTER SQUARE BECAME THE CITY'S

RUBBISH DUMP.

Source: BBC



NEW ZEALAND

DIDN'T ESCAPE

SOCIALISM

IN 1982

MULDOON'S GOVERNMENT FROZE

WAGES

PRICES

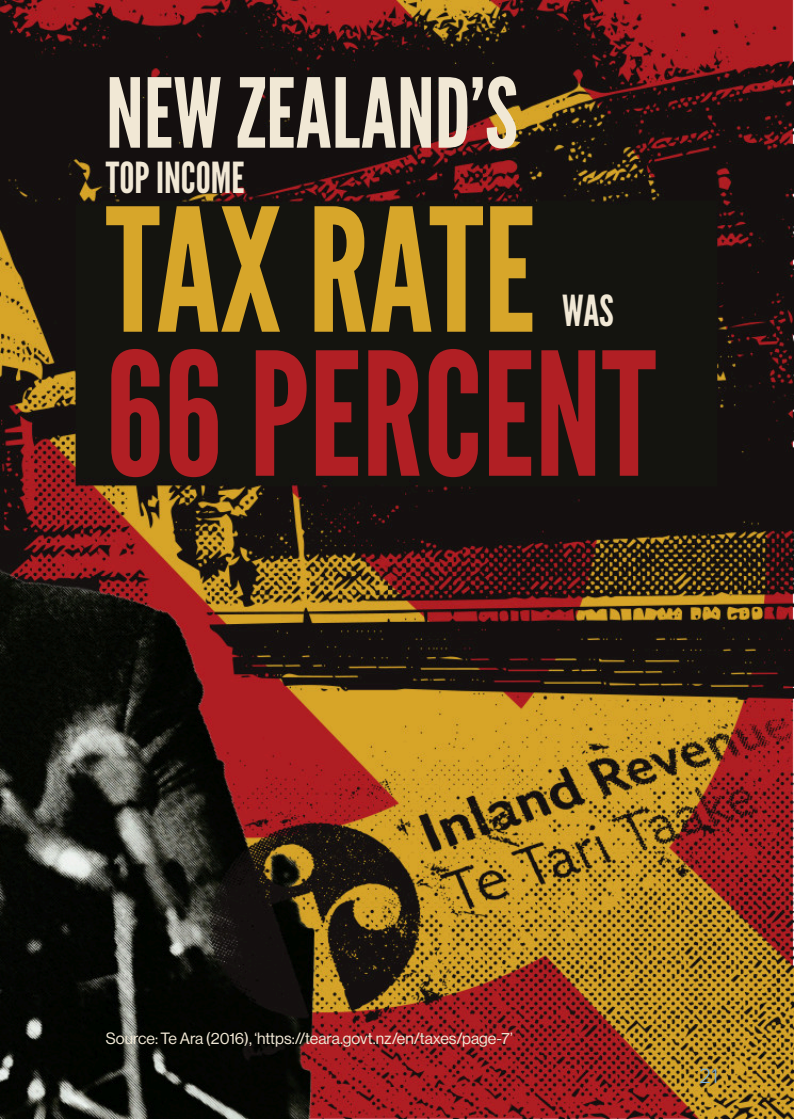
RENTS

INTEREST RATES

DIVIDENDS

DIRECTOR'S FEES

Source: Te Ara (2010), <https://teara.govt.nz/en/cartoon/25623/the-wage-and-price-freeze-1982-1984>



NEW ZEALAND'S

TOP INCOME

TAX RATE

WAS

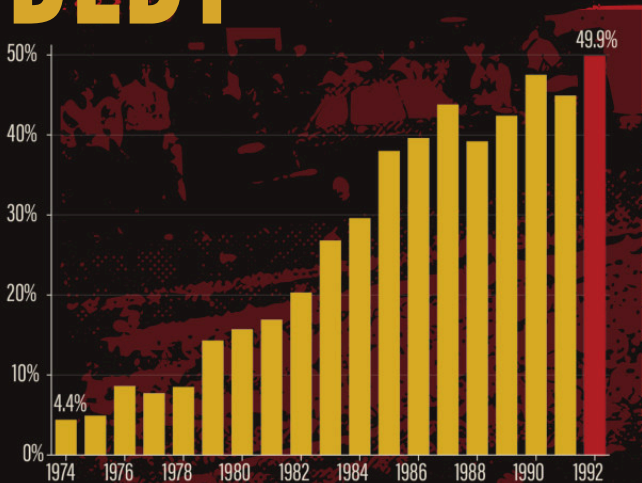
66 PERCENT

Inland Revenue
Te Tari Taake

Source: Te Ara (2016), '<https://teara.govt.nz/en/taxes/page-7>'

NEW ZEALAND'S NET

GOVERNMENT DEBT



4% TO 50%

OF GDP IN 1974 TO 50 PERCENT BY 1992.

Source: Te Ara (2010), <https://teara.govt.nz/en/cartoon/25623/the-wage-and-price-freeze-1982-1984>

NEW ZEALAND COULD NO LONGER DEFEND ITS OWN CURRENCY

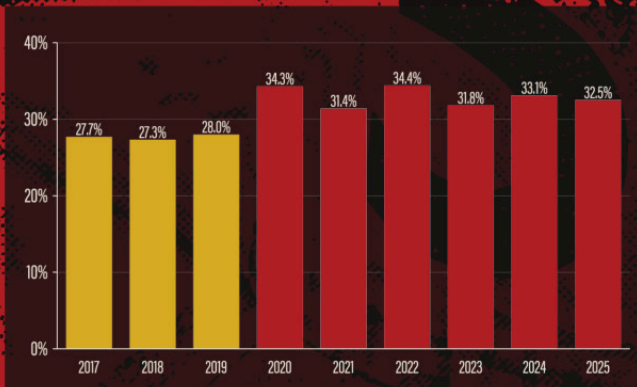


IN JULY 1984
A RUN ON THE DOLLAR FORCED THE RESERVE BANK
TO SUSPEND FOREIGN-EXCHANGE TRADING.
RESULTING IN A

20% DEVALUATION

Source: RBNZ (1996), '<https://www.rbnz.govt.nz/hub/publications/speech/1996/speech1996-06-04>'

AND NOW GOVERNMENT SPENDING EQUALS ALMOST A THIRD OF THE WHOLE ECONOMY



SPENDING SURGED DURING COVID, AND NEVER WENT AWAY AGAIN.

Adrian Orr
GOVERNOR

Source: Treasury (2026), '<https://www.treasury.govt.nz/publications/information-release/data-fiscal-time-series-historical-fiscal-indicators>'

FREEDOM IN THE WORLD

100 IS MOST FREE, 1 IS LEAST FREE

COUNTRY	FREEDOM	SCORE
FINLAND	FREE	100/100
NEW ZEALAND	FREE	99/100
SWEDEN	FREE	99/100
IRELAND	FREE	98/100
JAPAN	FREE	96/100
AUSTRALIA	FREE	94/100
UNITED KINGDOM	FREE	92/100
UNITED STATES	FREE	73/100
KENYA	PARTLY FREE	49/100
VIETNAM	NOT FREE	20/100
VENEZUELA	NOT FREE	13/100
CUBA	NOT FREE	9/100
CHINA	NOT FREE	9/100
AFGHANISTAN	NOT FREE	8/100
NORTH KOREA	NOT FREE	3/100
RUSSIAN-OCCUPIED UKRAINE	NOT FREE	-1/100

Source: Freedom House (2026), <https://freedomhouse.org/country/scores>

ECONOMIC FREEDOM RANKING

1 IS MOST FREE, 180 IS LEAST FREE

COUNTRY	RANK	SCORE
HONG KONG	1	8.55
SINGAPORE	2	8.50
NEW ZEALAND	3	8.33
SWITZERLAND	4	8.28
UNITED STATES	5	8.10
AUSTRALIA	7	8.03
CANADA	11	7.92
UNITED KINGDOM	13	7.88
SOUTH AFRICA	83	6.61
VIETNAM	105	6.21
PAKISTAN	134	5.62
RUSSIA	148	5.09
SYRIA	158	4.62
IRAN	161	4.37
ZIMBABWE	164	3.91
VENEZUELA	165	3.11

Source: Fraser Institute (2025), <https://www.fraserinstitute.org/sites/default/files/2025-10/economic-freedom-of-the-world-2025-annual-report.pdf>

WORLD PRESS FREEDOM INDEX

1 IS MOST FREE, 180 IS LEAST FREE

PRESS FREEDOM
WORLDWIDE IS AT
A 25-YEAR LOW.

COUNTRY	RANK	SCORE
NORWAY	1	9.72
NETHERLANDS	2	88.92
IRELAND	7	85.93
GERMANY	14	82.17
UNITED KINGDOM	18	78.76
SOUTH AFRICA	21	77.95
NEW ZEALAND	22	77.38
NAMIBIA	23	76.97
UNITED STATES	64	62.61
NIGERIA	112	48.11
CUBA	160	29.22
RUSSIA	172	23.15
VIETNAM	174	21.15
AFGHANISTAN	175	19.51
NORTH KOREA	179	12.67
ERITREA	180	10.24

Source: Reporters Sans Frontières (2026), <https://rsf.org/en/index>

LITHUANIA

SINCE BECOMING FREE IN 1990,
HAS FLOURISHED

163%

IN ITS IT SPECIALISTS

17%

CORPORATE INCOME TAX

76%

FALL IN INFANT
MORTALITY

1991-2024

4TH

LOWEST GOVERNMENT
SPENDING

In the EU

<https://data.worldbank.org/indicator/SP.DYN.IMRT.IN?locations=LT>

Lithuanian Ministry of Finance (2026), '<https://finmin.lrv.lt/en/competence-areas/taxation/main-taxes/corporate-income-tax/>'

Statistics Lithuania (2023), 'https://osp.stat.gov.lt/en_GB/skaitmenine-ekonomika-ir-vi-suomene-lietuvoje-2023/skaitmenine-visuomene-ir-verslas/skaitmeniniai-igudziai-skaitmeniniam-pasauliui'

Eurostat (2026), '<https://ec.europa.eu/eurostat/databrowser/view/TEC00023/default/table>'

ESTONIA

HAS EMBRACED, TECHNOLOGY, INNOVATION,
AND FREE MARKETS

22%

FLAT INCOME TAX

Most competitive tax system in the OECD

7%

ECONOMIC GROWTH

2022

2ND

IN THE WORLD FOR
INTERNET FREEDOM

2023

100%

OF GOVERNMENT
SERVICES AVAILABLE
DIGITALLY

In the EU

Freedom House (2025), 'https://freedomhouse.org/country/scores?sort=fofn&sort_order=-desc'

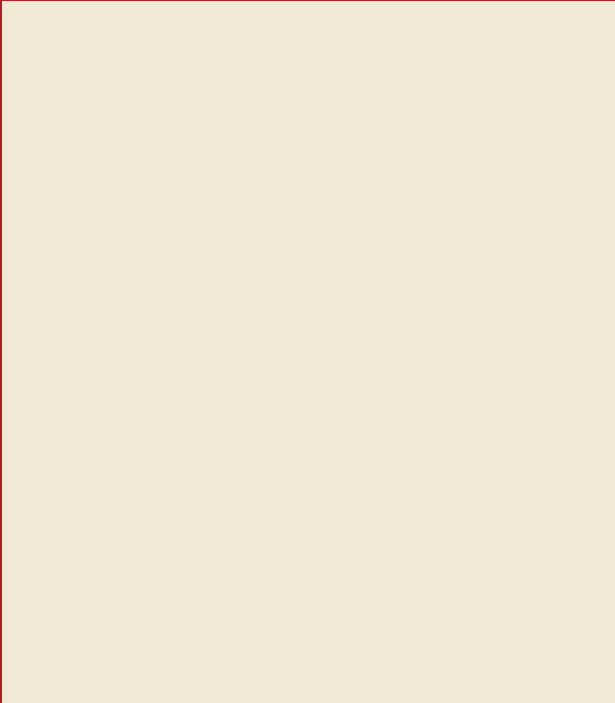
E-Estonia (2025), '<https://e-estonia.com/estonia-100-digital-government-services/>'

Estonian Tax and Customs Board (2025), '<https://www.emta.ee/en/private-client/tax-es-and-payment/declaration-income/tax-rates>'

Tax Foundation (2025), '<https://taxfoundation.org/research/all/global/2025-international-tax-competitiveness-index/>'

Statistics Estonia (2022), '<https://www.stat.ee/en/node/258605>'

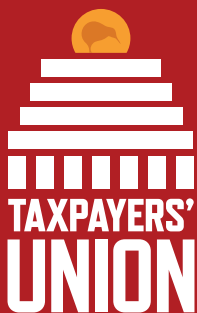
COUNTRIES WHERE **SOCIALISM** HAS WORKED





For further details and a full list of sources, please
visit **www.taxpayers.org.nz/little-red-book**

Taxpayers' Union
117 Lambton Quay
Wellington
6011
Team@taxpayers.org.nz



www.taxpayers.org.nz

AUTHORISED BY THE NEW ZEALAND TAXPAYERS' UNION
LEVEL 4, 117 LAMBTON QUAY, WELLINGTON